

coupon married to a Friday-after-Thanksgiving shopping frenzy.” Groupon’s founder, Andrew Mason, came up with the idea while trying to cancel a cell phone contract in 2006. He launched his website, The Point, in 2007 and based it on the “tipping point” principle that would utilize social media to organize collective action. The Point faced mounting losses until Mason noted that one of the website’s most effective campaigns was when consumers banded together to gain buying power. He started a blog that offered readers a different deal from various vendors every day. Groupon, then called Getyourgroupon.com, was born.

The growth of Groupon was swift, from about four hundred subscribers when they started in November 2008, to over five million in the United States by mid-2010. Except for YouTube, which reached a value of one billion dollars in twelve months, no other Internet company has grown quite as fast, not even eBay, Amazon, or Google. Less than two years after its inception, Groupon boasted a value of one billion dollars. And unlike YouTube, founded in 2005 and yet to turn a profit, Groupon was making a profit just seven months after its inception. In fact, Groupon made waves in the business world in early 2011 by turning down a reported six billion-dollar buyout from Google.

This is the concept behind the Groupon service: They find a merchant willing to offer a significant discount on a service or product if a certain amount of people sign up. Groupon advertises and spreads the word of the offer to its members and gets a percentage of the revenue the merchant brings in. On average, the merchant ends up collecting only about 25